Accelerated Commerce and Technology (*see Making a Fresh Compact*). The two leaders reiterated that it would be a results-driven agenda with initial outcomes by the end of the year to demonstrate trust in each other and mutual benefits.

On trade and tariffs, the Indian side wanted the Americans to define the template they were looking at. Was it a revenue template that Trump was interested in or one focusing on reducing the deficit? They pointed out that the imposition of reciprocal tariffs need not reduce the deficit which India enjoys, though it may expand US revenues through higher duties. A template the Indians advocated was one that focused on reducing the deficit while growing overall trade. So Modi and Trump agreed to set a bold new goal titled Mission 500, which is aimed at more than doubling the total bilateral trade to $500 billion by 2030 from the current $194 billion (Rs 16.8 lakh crore). As an official put it, "This should open up business opportunities worth $100 billion (Rs 8.67 lakh crore) for Indian firms in the next couple of years that would more than offset any restrictive trade policies that the US may impose."


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To give India more bargaining space, the teams agreed to work towards the first tranche of a multi-sector Bilateral Trade Agreement (BTA) by the fall of 2025. The Indian side was tentatively optimistic that by committing to a time-bound trade agreement, Trump would make an exception for India when it came to reciprocal tariffs. But, in an interview days after his meeting with Modi, Trump was clear that he wouldn't do so. Consequently, India's pharma and auto industries could be hit hard (*see Tariff Tightrope*).

The State Bank of India's research unit did an assessment of the potential impact if the US imposed a 20 per cent flat tariff raise and concluded that India would lose 50 bps (basis points) to its GDP. That amounted to an annual loss of $19.4 billion (Rs 1.68 lakh crore) or 10 per cent of India's total trade with the US. Global investment banking firm Goldman Sachs estimated Trump's reciprocal tariff could impact India in three ways: at the country level, the product level and through non-tariff barriers (trade restrictions like quotas and licences), resulting in a loss of anything between 0.1 to 0.6 per cent of India's GDP of $3.8 trillion (Rs 325 lakh crore). Indian officials point out that the impact should not be studied in isolation, as other countries would also be subject to these, with some like China hurt even more. That itself could make India more competitive in other goods and services and position it to grab a wider spectrum of exports.

Meanwhile, in a Plan B, the Indian side is preparing to put the first tranche of the BTA on a fast-track. Their confidence stems from the fact that during Trump's first term the two sides were close to signing an early harvest trade deal before the Covid outbreak put paid to the effort. The Biden administration was not keen on pursuing a free trade agreement, so the effort languished, but during his tenure the two sides decided to withdraw their battle in the WTO over earlier tariffs. Now with Trump back in the saddle, India hopes to pick up where they left off and clinch a partial deal before the reciprocal tariffs kick in. But it is going to be a tough ask and is likely to put the relationship under severe strain.

TIME FOR A TRADE REVAMP

Modi had another bargaining chip: India could offer to become a major buyer of US crude oil and liquid natural gas, a sector whose expansion is a pet project for Trump, embodied in his catchily phrased policy of "drill, baby, drill". The US is India's fifth largest supplier of crude oil and petroleum products, with its share being around $7 billion (Rs 60,650 crore) of the country's annual oil import bill of $140 billion (Rs 12.13 lakh crore) in 2023. In the joint statement released after the Modi-Trump summit, India has agreed to establish the United States as "a leading supplier" of its crude oil and liquid natural gas requirements. In 2023, India purchased around $45 billion (Rs 3.89 lakh crore) from its top supplier Russia apart from about $25 billion (Rs 2.17 lakh crore) each from Iraq and Saudi Arabia annually. The US hopes India would nearly treble its current purchases. But India's unstated caveat is that it is subject to competitive pricing and logistics. Importantly, the US will back India's claim to become a full member of the International Energy Agency, allowing it to sit on the global